

INDUSTRIALS · DIVERSIFIED MACHINERY

Meridian Industrials (illustrative) DEMO

STANDARD (FCFF-DCF LED)

|         |            |          |        |
|---------|------------|----------|--------|
| RATING  | FAIR VALUE | PRICE    | UPSIDE |
| NEUTRAL | \$182.98   | \$182.00 | +1%    |

Discount rate 9.22% · data: DEMO (synthetic)

INVESTMENT THESIS

We initiate our independent valuation of **Meridian Industrials (illustrative) (DEMO)** with a **NEUTRAL** stance and a fair value of **\$182.98**, +1% against the current \$182.00. We frame the company under a standard (fcff-dcf led) approach — the model set that fits how this business actually creates value. The lead method, discounted cash flow (fcff), returns \$220.18 (+21%); the target is a probability-weighted blend across 2 methods.

Meridian Industrials (illustrative) generated \$85.96bn of revenue at a 29% EBIT margin in the latest fiscal year, having compounded the top line at 8.2% over the historical window. Market capitalisation stands at \$276.64bn with \$500mn of net cash, and we discount at a 9.2% WACC.

Our base case carries 72% of enterprise value in the terminal value, implying a terminal EV/EBITDA of 9.9x. At maturity the business earns a 52.0% return on invested capital against a 9.2% cost of capital — a positive spread of 4276bps, so incremental growth is value-accretive and deserves a premium multiple.

Reverse-engineering the current price, the market is discounting roughly 5.0% near-term revenue growth versus our 7.5% base assumption — the tape is more conservative than our forecast, which is the crux of the +1% gap to fair value.

Cash-generative operating business: unlevered DCF is the anchor, trading comps and a dividend cross-check corroborate.

| KEY DATA          |            |
|-------------------|------------|
| Market cap        | \$276.64bn |
| Enterprise value  | \$276.14bn |
| Net debt          | (\$500mn)  |
| Net debt / EBITDA | net cash   |
| EV / EBITDA (LTM) | 9.5x       |
| P/E (LTM)         | 14.1x      |
| FCF yield (LTM)   | 6.9%       |
| Dividend yield    | 1.3%       |
| Beta              | 1.12       |
| Diluted shares    | 1,520mn    |

FINANCIAL SUMMARY & VALUATION

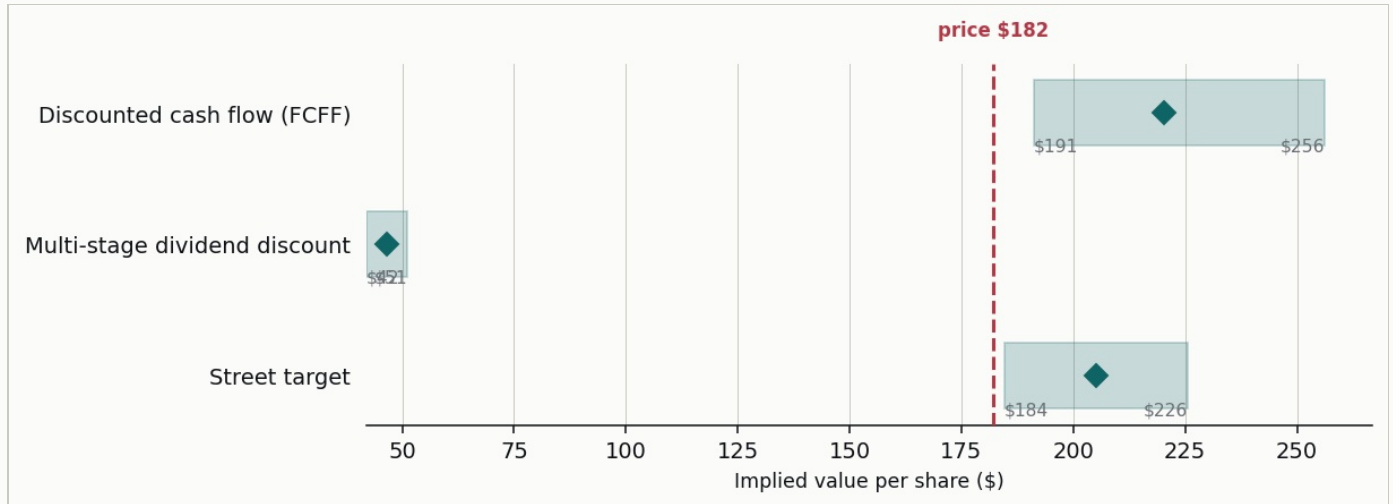
| \$, PER SHARE WHERE NOTED | FY2024A   | FY2025A   | FY2026E   | FY2027E   | FY2028E    | FY2029E    |
|---------------------------|-----------|-----------|-----------|-----------|------------|------------|
| Revenue                   | \$81.09bn | \$85.96bn | \$92.38bn | \$98.14bn | \$103.03bn | \$106.89bn |
| growth                    | +8.0%     | +6.0%     | +7.5%     | +6.2%     | +5.0%      | +3.7%      |
| EBITDA                    | \$26.92bn | \$28.97bn | \$31.13bn | \$32.95bn | \$34.47bn  | \$35.62bn  |
| EBIT margin               | 28.0%     | 28.5%     | 28.5%     | 28.4%     | 28.3%      | 28.1%      |
| EPS                       | \$11.76   | \$12.87   | \$13.74   | \$14.55   | \$15.22    | \$15.73    |
| FCFF/share                | \$11.67   | \$12.60   | \$13.58   | \$14.47   | \$15.25    | \$15.88    |

|           |       |       |       |       |       |       |
|-----------|-------|-------|-------|-------|-------|-------|
| EV/EBITDA | 10.3x | 9.5x  | 8.9x  | 8.4x  | 8.0x  | 7.8x  |
| P/E       | 15.5x | 14.1x | 13.2x | 12.5x | 12.0x | 11.6x |
| FCF yield | 6.4%  | 6.9%  | 7.5%  | 8.0%  | 8.4%  | 8.7%  |

Multiples struck at the current price/EV against each year's estimates. Forecast EPS approximates net income as (EBIT – LTM interest) × (1–t).

## VALUATION SUMMARY — FOOTBALL FIELD

EXHIBIT 1 • VALUATION FOOTBALL FIELD



| METHOD                        | VALUE / SHARE   | UPSIDE     | WEIGHT |
|-------------------------------|-----------------|------------|--------|
| Discounted cash flow (FCFF)   | \$220.18        | +21%       | 79%    |
| Multi-stage dividend discount | \$46.57         | -74%       | 21%    |
| Street consensus              | \$205.00        | +13%       | —      |
| <b>Blended fair value</b>     | <b>\$182.98</b> | <b>+1%</b> |        |

## KEY ASSUMPTIONS & RATIONALE

Each forward driver is anchored to history or consensus, sanity-checked for internal consistency, and justified below. These are the levers that move the valuation.

| DRIVER                      | TRAJECTORY                        | RATIONALE                                                                                                                                                                                                                                                                             |
|-----------------------------|-----------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Revenue growth</b>       | <b>7.5% → 2.5% over 5y</b>        | Year-1 growth is set from year-1 consensus of 7.0% blended 60/40 with the 5-yr historical CAGR of 8.2%. Growth then decelerates monotonically to the terminal rate as the base compounds toward \$110bn — the law of large numbers and competitive entry compress incremental growth. |
| <b>EBIT margin</b>          | <b>28.5% → 28.0% (compresses)</b> | Spot EBIT margin is 28.5% versus a through-cycle average of 27.3%. We revert 40% of the way toward that average, landing at 28.0% by year 5 — crediting some but not all of current profitability as durable, which guards against extrapolating a peak.                              |
| <b>Reinvestment (capex)</b> | <b>4.8% of sales</b>              | Held at the historical average capex intensity (4.8%), against D&A of 5.2% — a capex/D&A ratio of 0.92x, consistent with a maintenance-led, capital-light steady state.                                                                                                               |
| <b>Working capital</b>      | <b>16.5% of Δrevenue</b>          | Incremental working capital absorbs 16.5% of each year's revenue increase, the historical median — a cash drag as the business scales.                                                                                                                                                |
| <b>Tax rate</b>             | <b>19.0%</b>                      | Normalised to the trailing effective rate of 19.0%, applied to EBIT to derive NOPAT.                                                                                                                                                                                                  |
| <b>Terminal growth</b>      | <b>2.5%</b>                       | Set at 2.5%, at or below long-run nominal GDP (4.0%); a mature going concern cannot outgrow the economy in perpetuity. Must stay below the WACC.                                                                                                                                      |

COST OF CAPITAL

|                           |                        |
|---------------------------|------------------------|
| Risk-free rate (Rf)       | 4.30%                  |
| Equity risk premium (ERP) | 4.60%                  |
| Country risk premium      | 0.00%                  |
| Beta (reported)           | 1.12                   |
| Size premium              | 0.00%                  |
| Cost of equity (Ke)       | 9.45%                  |
| Pre-tax cost of debt      | 4.90%                  |
| After-tax cost of debt    | 3.97%                  |
| Marginal tax rate         | 19.0%                  |
| Weight of equity          | 95.8%                  |
| Weight of debt            | 4.2%                   |
| Credit assessment         | AAA (EBIT/int = 44.5x) |
| WACC                      | 9.22%                  |

Operative discount rate: 9.22% (WACC).

Cost of equity via CAPM:  $R_f + \beta \times ERP$ . Marginal tax rate set to trailing effective (19.0%). Cost of debt from a synthetic rating off interest coverage (AAA (EBIT/int = 44.5x)).

FINANCIAL MODEL — HISTORICALS & FORECAST

EXHIBIT 2 · REVENUE & FREE CASH FLOW PROJECTION

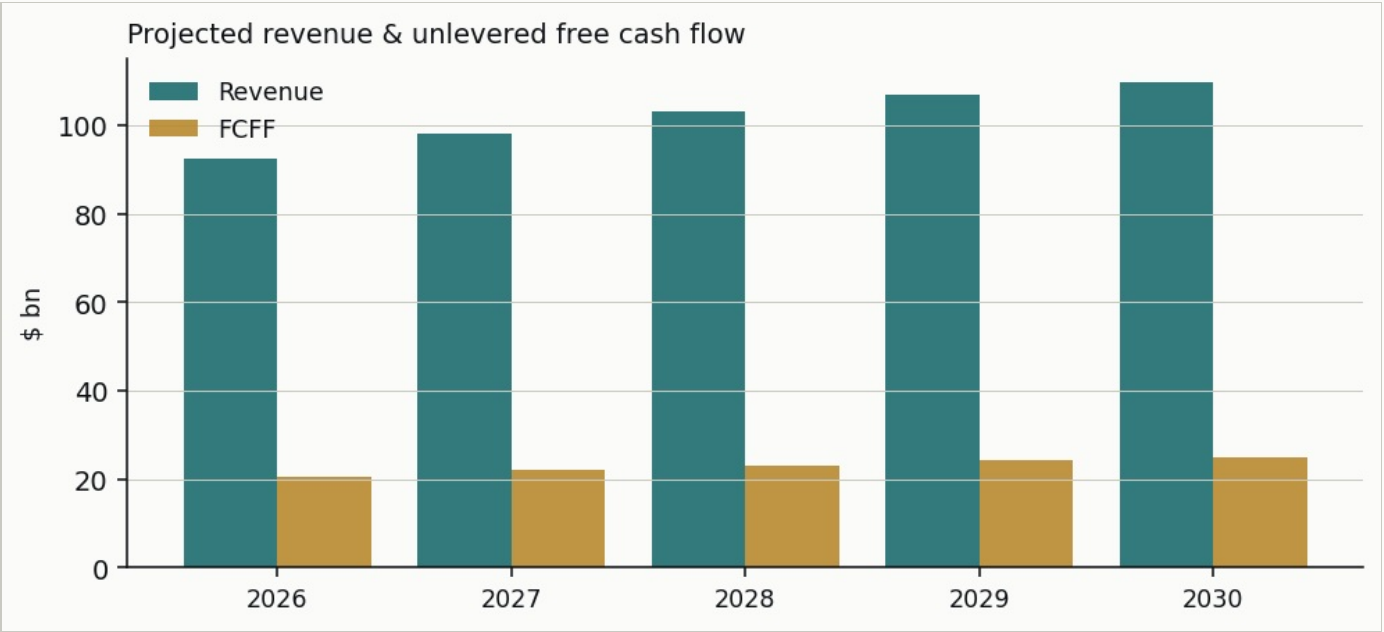
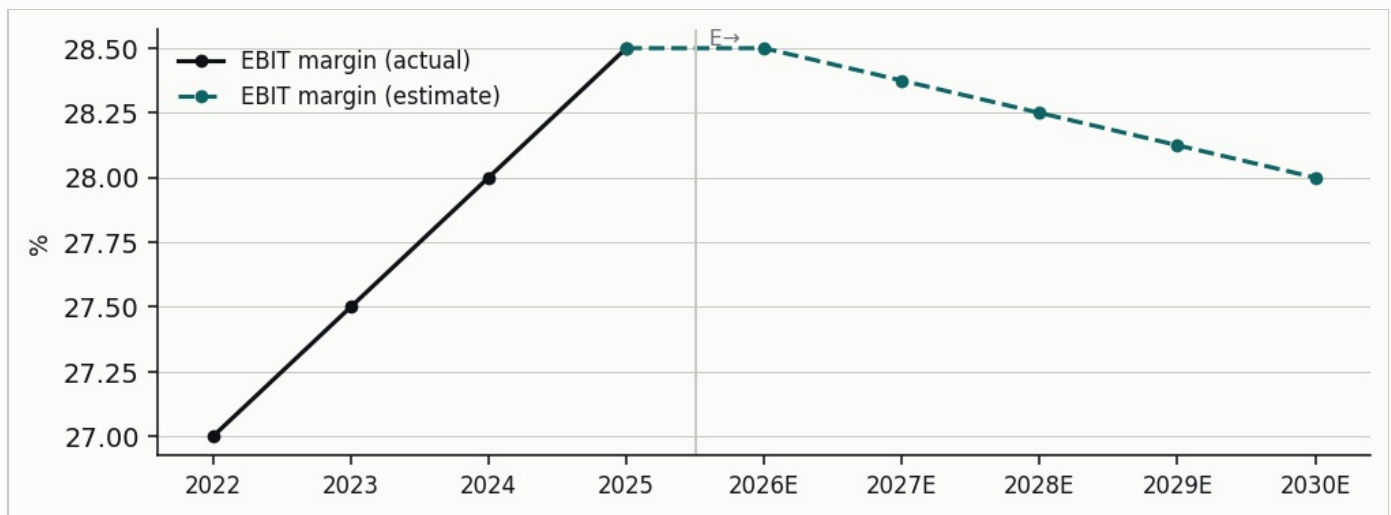


EXHIBIT 3 · MARGIN TRAJECTORY, ACTUAL VS ESTIMATE



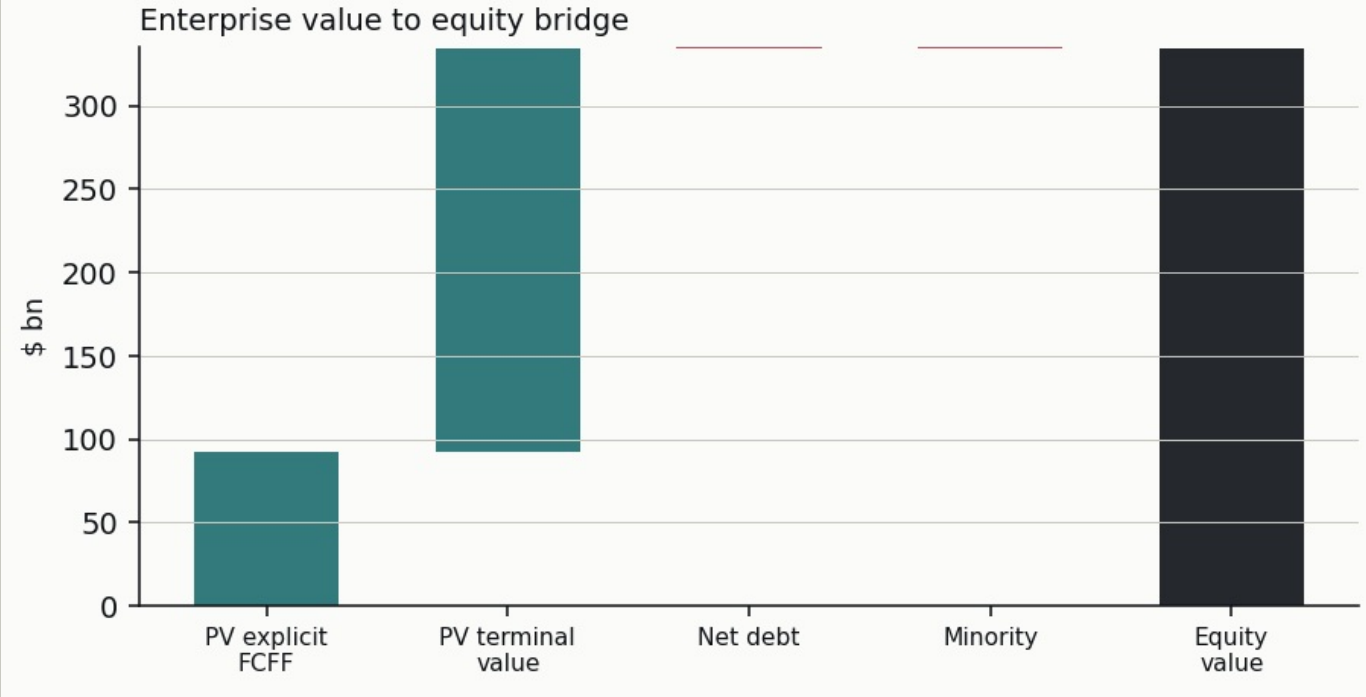
| FISCAL YEAR | REVENUE    | GROWTH | EBIT      | MARGIN | NOPAT     | FCFF      | FCF CONV. |
|-------------|------------|--------|-----------|--------|-----------|-----------|-----------|
| 2022A       | \$70.17bn  | —      | \$18.95bn | 27.0%  | \$15.35bn | \$14.79bn | 96%       |
| 2023A       | \$75.09bn  | +7.0%  | \$20.65bn | 27.5%  | \$16.73bn | \$16.12bn | 96%       |
| 2024A       | \$81.09bn  | +8.0%  | \$22.71bn | 28.0%  | \$18.39bn | \$17.74bn | 96%       |
| 2025A       | \$85.96bn  | +6.0%  | \$24.50bn | 28.5%  | \$19.84bn | \$19.16bn | 97%       |
| 2026E       | \$92.38bn  | +7.5%  | \$26.33bn | 28.5%  | \$21.33bn | \$20.64bn | 97%       |
| 2027E       | \$98.14bn  | +6.2%  | \$27.85bn | 28.4%  | \$22.56bn | \$22.00bn | 98%       |
| 2028E       | \$103.03bn | +5.0%  | \$29.11bn | 28.3%  | \$23.58bn | \$23.18bn | 98%       |
| 2029E       | \$106.89bn | +3.7%  | \$30.06bn | 28.1%  | \$24.35bn | \$24.14bn | 99%       |
| 2030E       | \$109.56bn | +2.5%  | \$30.68bn | 28.0%  | \$24.85bn | \$24.85bn | 100%      |

Shaded rows are reported actuals (A); unshaded are our estimates (E). NOPAT = EBIT × (1 – tax); FCFF = NOPAT + D&A – capex – ΔNWC; FCF conversion = FCFF / NOPAT.

## Discounted cash flow build

| YEAR  | FCFF      | DISC. FACTOR | PV OF FCFF |
|-------|-----------|--------------|------------|
| 2026E | \$20.64bn | 0.957        | \$19.75bn  |
| 2027E | \$22.00bn | 0.876        | \$19.27bn  |
| 2028E | \$23.18bn | 0.802        | \$18.59bn  |
| 2029E | \$24.14bn | 0.734        | \$17.73bn  |
| 2030E | \$24.85bn | 0.672        | \$16.70bn  |

|                            |                   |
|----------------------------|-------------------|
| <b>PV of explicit FCFF</b> | <b>\$92.05bn</b>  |
| PV of explicit FCFF        | \$92.05bn         |
| PV of terminal value       | \$242.42bn        |
| Enterprise value           | \$334.47bn        |
| – Net debt                 | (\$500mn)         |
| – Minority interest        | \$300mn           |
| <b>Equity value</b>        | <b>\$334.67bn</b> |
| <b>Value per share</b>     | <b>\$220.18</b>   |



RATIO ANALYSIS — LEVERAGE, COVERAGE & RETURNS

| METRIC                      | FY2022A | FY2023A | FY2024A | FY2025A |
|-----------------------------|---------|---------|---------|---------|
| Net debt / EBITDA           | 0.1x    | 0.0x    | 0.0x    | -0.0x   |
| EBIT / interest             | 34.4x   | 37.5x   | 41.3x   | 44.5x   |
| ROE                         | 47.1%   | 48.4%   | 50.3%   | 51.5%   |
| ROIC (NOPAT/IC)             | 46.1%   | 48.2%   | 50.9%   | 52.9%   |
| FCF conversion (FCFF/NOPAT) | 96%     | 96%     | 96%     | 97%     |
| Capex / D&A                 | 0.92x   | 0.92x   | 0.92x   | 0.92x   |

TERMINAL VALUE & IMPLIED MULTIPLES

|                                 |            |
|---------------------------------|------------|
| Terminal value (Gordon, g=2.5%) | \$360.58bn |
| PV of terminal value            | \$242.42bn |
| Terminal value as % of EV       | 72%        |
| Implied terminal EV/EBITDA      | 9.9x       |
| Implied terminal P/FCF          | 14.2x      |

A large terminal value is normal, but it must be defensible. We cross-check the Gordon perpetuity against the exit multiple it implies — if the implied terminal EV/EBITDA sits far above where the stock trades today, the perpetuity growth is doing too much work.

|                             |                              |    |
|-----------------------------|------------------------------|----|
| Terminal EV/EBITDA vs today | 9.9x implied vs 9.5x current | OK |
| Terminal ROIC vs WACC       | 52.0% vs 9.2%                | OK |

RETURNS ANALYSIS — ROIC VS COST OF CAPITAL

|                              |       |
|------------------------------|-------|
| Current ROIC                 | 52.9% |
| Terminal ROIC                | 52.0% |
| Cost of capital (WACC)       | 9.2%  |
| Reinvestment rate (terminal) | 5%    |
| Implied self-funding growth  | 2.5%  |

The business earns **52.0%** on incremental capital versus a **9.2%** cost of capital — a positive spread of **4276bps**. Growth therefore creates value and the model rightly capitalises it at a premium to book. The implied self-funding growth of 2.5% (reinvestment 5% × ROIC) frames how much of our terminal growth is organically financed rather than assumed.

WHAT THE MARKET IS PRICING IN

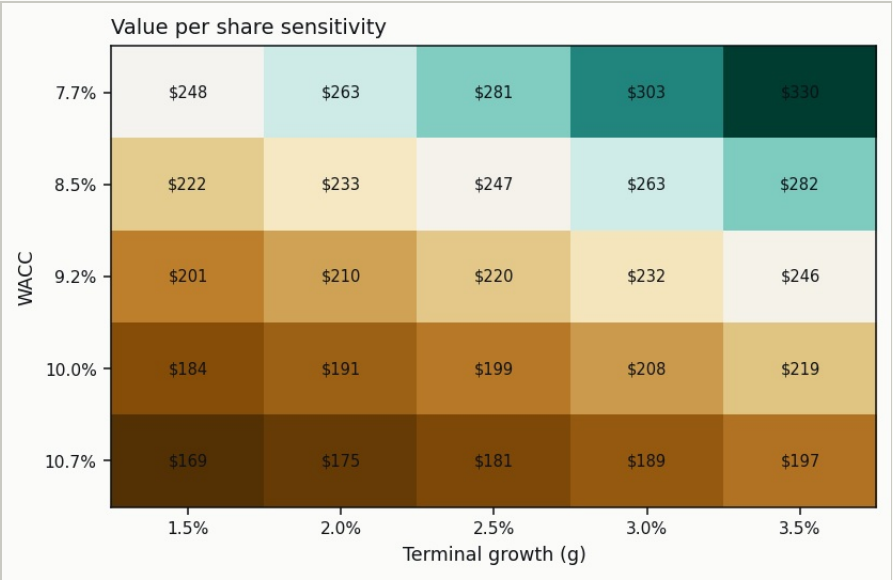
At the current \$182.00, a reverse-DCF implies the market is discounting **5.0%** near-term revenue growth and 1.5% in perpetuity.

Our base case assumes 7.5% near-term growth. The market is **more conservative** than our forecast — if the company merely executes to our base plan, the shares re-rate upward.

SCENARIO & SENSITIVITY ANALYSIS

| SCENARIO | YR-1 GROWTH | EXIT MARGIN | TERMINAL G | VALUE / SHARE | UPSIDE |
|----------|-------------|-------------|------------|---------------|--------|
| Bear     | +4%         | 26%         | 2.2%       | \$191.16      | +5%    |
| Base     | +7%         | 28%         | 2.5%       | \$220.18      | +21%   |
| Bull     | +10%        | 30%         | 2.8%       | \$256.17      | +41%   |

EXHIBIT 4 • SENSITIVITY HEAT MAP



MULTI-STAGE DIVIDEND DISCOUNT

|                                                                                                                             |         |        |        |
|-----------------------------------------------------------------------------------------------------------------------------|---------|--------|--------|
| Current DPS                                                                                                                 | \$2.40  |        |        |
| Near-term div growth                                                                                                        | 15.0%   |        |        |
| Terminal growth                                                                                                             | 2.5%    |        |        |
| Cost of equity (Ke)                                                                                                         | 9.45%   |        |        |
| PV of explicit dividends                                                                                                    | \$12.45 |        |        |
| PV of terminal value                                                                                                        | \$34.12 |        |        |
| Value per share                                                                                                             | \$46.57 |        |        |
| Dividends grow from the retention-implied rate and fade to a sustainable terminal growth, discounted at the cost of equity. |         |        |        |
| YEAR                                                                                                                        | DPS     | GROWTH | PV     |
| 2026                                                                                                                        | \$2.76  | 15.0%  | \$2.52 |
| 2027                                                                                                                        | \$3.09  | 11.9%  | \$2.58 |
| 2028                                                                                                                        | \$3.36  | 8.8%   | \$2.56 |
| 2029                                                                                                                        | \$3.55  | 5.6%   | \$2.47 |
| 2030                                                                                                                        | \$3.64  | 2.5%   | \$2.31 |

## FACTOR SENSITIVITY MAP — WHAT MOVES THIS STOCK

Exposure levels are scored from the model and the historicals, with the mechanism spelled out.

| TYPE  | FACTOR                           | EXPOSURE | EVIDENCE                                                          | WHY / MECHANISM                                                                                                                                                                                                                                |
|-------|----------------------------------|----------|-------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Macro | Interest rates / discount rate   | HIGH     | 75bps of WACC $\approx$ \$24.02/sh (11%); TV = 72% of EV          | Long-duration cash flows: the further out the value sits (terminal-heavy), the more a shift in rates or the equity risk premium re-prices the stock, independent of operations.                                                                |
| Macro | Economic cycle / demand          | LOW      | Revenue growth volatility $\sigma$ = 1.7% over 5y                 | Historical top-line dispersion is the cleanest read on cyclicalities: a stable compounding base decouples from GDP; a volatile one imports the macro cycle into earnings.                                                                      |
| Macro | Inflation / input costs          | MEDIUM   | -100bps EBIT margin $\approx$ - \$8.16/sh; margin $\sigma$ = 0.9% | Cost pass-through is the test: firms with pricing power hold margin through inflation; historical margin volatility shows how much of past cost shocks reached the P&L.                                                                        |
| Macro | Credit & refinancing             | LOW      | Net cash position; EBIT/interest = 44.5x                          | A net-cash balance sheet removes refinancing risk and turns higher rates into interest income rather than a cost.                                                                                                                              |
| Micro | Competitive erosion              | LOW      | ROIC-WACC spread = 4,276bps                                       | Excess returns invite entry: the wider the spread, the bigger the prize for competitors — but also the bigger the buffer before growth stops creating value. A thin spread means small competitive slippage flips growth to value destruction. |
| Micro | Execution vs expectations        | MEDIUM   | Implied y1 growth 5.0% vs base 7.5%                               | Market expects LESS than our base — upside on delivery. The equity reprices on the gap between delivery and what the tape already discounts, not on absolute results.                                                                          |
| Micro | Capital intensity                | LOW      | Capex/D&A = 0.92x; capex = 4.8% of sales                          | Above 1x, the business must keep buying its own growth — FCF conversion stays hostage to the reinvestment cycle; below 1x, depreciation overstates true capital needs and cash conversion runs ahead of earnings.                              |
| Micro | Pricing power / margin stability | LOW      | EBIT margin $\sigma$ = 0.9% (range 26%–29%)                       | Stable margins across cycles are the fingerprint of pricing power; wide swings say the company is a price-taker whose profitability belongs to the environment, not the franchise.                                                             |

## CATALYSTS & WHAT EACH LEVER IS WORTH

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- **Cost of capital:** every 75bps of WACC moves fair value by  $\approx \$24.02/\text{share}$  (11%). Rate path and the equity risk premium are the single biggest swing factor.
- **Terminal growth:** 50bps of perpetuity growth is worth  $\approx \$11.09/\text{share}$  — the market's read on the company's long-run competitive position.
- **Operating margin:** each 100bps of EBIT margin across the forecast is worth  $\approx \$8.16/\text{share}$  — watch pricing power, mix and cost discipline in quarterly prints.
- **Top-line delivery:** our base assumes 7.5% year-one growth fading to 2.5%; sustained beats/misses versus that glide path are the cleanest re-rating trigger either way.

## KEY RISKS

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- Single third-party data source: restatements, non-recurring items or classification differences can shift the output.

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**Methodology & disclaimer.** Generated by an automated, sector-aware valuation engine from public data (DEMO (synthetic)). DEMO was classified as **Standard (FCFF-DCF led)** and valued with the models appropriate to that profile; the target is a weighted blend. Forward assumptions are derived from historical financials and available consensus, mean-reverted and sanity-checked for internal consistency (reinvestment, ROIC, terminal multiples), then tilted for scenarios — they are not a substitute for fundamental judgement. Nothing here is investment advice, a recommendation, or an offer to transact. Do your own due diligence.